Question #1 of 34

Question ID: 1675776

Will Lambert, CFA, is a financial analyst for Offshore Investments. He is preparing a purchase recommendation on Burch Corporation. According to CFA Institute Standards of Professional Conduct, which of the following relationships with Burch is Lambert *least likely* required to disclose?

A) He has a material beneficial ownership of Burch through a family trust. ✗

B) His wife owns 2,000 shares of Burch. ✗

C) His son-in-law was formerly employed by Burch. ✓

Explanation

Standard VI(A) requires that members and candidates fully disclose all matters that may impair their independence or objectivity or interfere with their duties to their employer, clients and prospects. Beneficial ownership of shares in a firm on which a member is making investment recommendations is an example of such a matter.

(Module 20.8, LOS 20: VI(A))

Question #2 of 34

Question ID: 1675779

Dwight Dawson, a CFA charterholder and portfolio manager at Ascott Investments, was recently appointed to the investments committee at Brightwood College. He will receive no compensation from Brightwood for serving on this committee. Another person at Ascott manages part of Brightwood's endowment. Dawson does not inform Ascott's compliance officer of his involvement with Brightwood, because he does not believe doing so is necessary.

Brenda Hamilton, a CFA candidate, also works for Ascott as an investment analyst. Procedures established at Ascott prohibit personal trading in securities analyzed or recommended by Ascott. One of these securities is Horizon, a telecommunications firm. Hamilton buys 10 shares of Horizon for her infant son's trust account. She believes that reporting this purchase to Ascott's compliance officer is unnecessary because the amount of the transaction is small and is not for her own personal account.

Did Dawson's or Hamilton's actions violate CFA Institute Standards of Professional Conduct?

A) Dawson: Yes; Hamilton: Yes. ✓

B) Dawson: No; Hamilton: Yes.

C) Dawson: No; Hamilton: No.

Explanation

Dawson violated Standard VI(A): Disclosure of Conflicts by failing to inform Ascott of his involvement with Brightwood College. Dawson could reasonably be expected to be involved with investment policy decisions at Brightwood that could affect Ascott because Ascott manages a portion of Brightwood's endowment. Hamilton also violated Standard VI(A) because she ignored a directive of her employer. Her purchase of Horizon stock has an appearance of impropriety. Hamilton could discuss the purchase of Horizon stock with her firm's compliance officer and request an exception to the prohibition against personal trading in securities analyzed or recommended by Ascott.

(Module 20.8, LOS 20: VI(A))

Question #3 of 34

Question ID: 1675772

Steve Copper has worked as an independent consultant for the past 10 years advising companies on various ways to increase their internal efficiency, and thereby, increase the firm's stock price as well. Copper recently accepted a job offer from an equity research firm as a senior stock analyst. One of the firms he will be responsible for researching, Johnson Machine Tools (JMT), is also one of his consulting clients. Copper currently has a contract with JMT to provide consulting services for another six months, which he plans to honor even though there are no penalties in the contract for early termination on his part. According to CFA Institute Standards of Professional Conduct, which of the following is the *most appropriate* action for Copper to take? Copper should:

A) terminate the contract with JMT before issuing any research on the company.

B) disclose the arrangement only if he plans to renew the contract in six months.

C) disclose the consulting arrangement to clients considering JMT as an investment.

Explanation

Standard VI(A): Disclosure of Conflicts requires members and candidates to inform clients, prospects, and their employers of any situation that may impair their independence and objectivity or interfere with duties owed to the same groups. The Standard notes that best practice is to avoid conflicts of interest when possible. This best practice recommendation is consistent with Standard I(B): Independence and Objectivity, which requires that independence and objectivity be maintained. The consulting arrangement with JMT, a company about which Copper will write research reports, divides his loyalty between JMT and the clients purchasing Copper's research on the same company. This is a clear conflict of interest that must be disclosed to clients, prospects, and Copper's employer if the conflict cannot be avoided. However, there is no penalty for ending the consulting relationship, and best practice would dictate that Copper terminate the contract with JMT.

(Module 20.8, LOS 20: VI(A))

Question #4 of 34

Question ID: 1675781

Ray Stone, CFA, follows the Amity Paving Company for his employer, Rubbell Securities.

Which of the following scenarios is Stone *least likely* to have to disclose?

A) Rubbell's broker-dealer relationship with Amity. ✗

B) Stone's ownership of Amity securities. ✗

C) The fact that Stone's son worked at Amity as a laborer during the summer while in school. ✓

Explanation

Members are required to disclose all matters that reasonably could interfere with their objectivity. Personal ownership of securities or a broker-dealer relationship with a covered firm could reasonably interfere with objectivity, but it is unlikely that a child's past employment would reasonably interfere with Stone's objectivity.

(Module 20.8, LOS 20: VI(A))

Question #5 of 34

Question ID: 1675792

Jim Bennett, CFA, leases office space to his best friend, Steve Waters. Bennett is an independent investment advisor specializing in high-net-worth clients, and Waters is a licensed life insurance underwriter. In lieu of paying rent, Waters refers his insurance clients to Bennett, but only with the clients' permission. For clients referred by Waters, Bennett:

A) must disclose the terms of the lease arrangement. ✓

B) need not disclose the terms of the lease arrangement because Waters obtained the clients' permission for the referral.

C) need not disclose the referral fee if Waters discloses the lease arrangement to the clients first.

Explanation

Standard VI(C): Referral Fees requires members to disclose to clients and prospects any consideration or benefit received by the member or delivered to others for the recommendation of any services to the client or prospect. Bennett has delivered a benefit (free rent) to Waters, which must be disclosed to the clients referred by Waters. Bennett must not rely on Waters to make the disclosure.

(Module 20.8, LOS 20: VI(C))

Question #6 of 34

Question ID: 1675786

Andy Rock, CFA, is an analyst at Best Trade Co. The company is going to announce a sell recommendation on Biomed stock in one hour. Rock was a member of the team who reached the decision on Biomed. Rock's wife has an account at Best Trade Co. that contains Biomed stock. According to the Code and Standards, trading on Rock's wife's account can begin:

A) as soon as the information is disseminated to all clients.

B) only after the recommendation is announced to the general public.

C) only after Rock, as a beneficial owner, has given an appropriate amount of time for clients and his employer to act.

Explanation

Family accounts that are client accounts should be treated like any other firm account, and should neither be given special treatment nor be disadvantaged because of an existing family relationship with the member or candidate. Members or candidates may undertake transactions in accounts for which they are a beneficial owner only after their clients and employers have had adequate opportunity to act on the recommendation. Personal transactions include those made for the member or candidate's own account, for family (including spouse, children, and other immediate family members) accounts, and for accounts in which the member or candidate has a direct or indirect pecuniary interest, such as a trust or retirement account. It could be argued that Rock is a beneficial owner of his wife's account and the reason why his wife's account should be treated like any other client account is because it does not state that Rock makes the trades in his wife's account. From that, we are to infer that another person other than Rock is managing his wife's account; thus, she should be treated like any other client.

(Module 20.8, LOS 20: VI(B))

Question #7 of 34

Question ID: 1675785

Standard VI(B): Priority of Transactions applies to transactions that an analyst takes on behalf of:

A) his clients.

B) his clients and his employer.

C) his employer.

Explanation

Standard VI(B) addresses the treatment of both these accounts. The accounts of clients and employers have priority over personal accounts.

(Module 20.8, LOS 20: VI(B))

Question #8 of 34

Question ID: 1675782

Lee Hurst, CFA, is an equity research analyst for a long-term investment fund. His annual bonus is linked to quarterly trading profits. Under a new policy, the quarterly assessment period is switched to a monthly assessment period. According to the Code and Standards, best practices dictate:

A) updating disclosures when the policy change is implemented.

B) requiring Hurst to obtain permission from each client before implementing the new policy.

C) keeping the policy change private as a trade secret.

Explanation

Standard VI(A): Disclosures of Conflicts recognizes this policy as a potential conflict of interest as members and candidates could be incentivized to favor short-term trading gains over long-term value creation. Best practices dictate updating disclosures when the policy change is implemented. The long-term investors should know how members and candidates are compensated, especially when there is the potential for conflicts of interest.

(Module 20.8, LOS 20: VI(A))

Question #9 of 34

Question ID: 1675790

An analyst, who is a CFA Institute member, manages a high-grade bond mutual fund. This is his only professional responsibility. When the analyst comes across a speculative stock investment that he feels is a good investment for his personal portfolio, the analyst:

A) may invest in the stock because the analyst would not purchase the stock for the bond portfolio he manages. ✓

B) must notify his supervisor about the stock according to Standard VI(B): Priority of Transactions to see if it is appropriate for the portfolio that he manages. ✗

C) is in violation of Standard IV(A): Loyalty to Employer by spending time analyzing stocks when he should only analyze bonds. ✗

Explanation

The problem says the analyst "came across" the speculative stock investment. We do not know if the analyst neglected his duties. Because such an investment is clearly not appropriate for a high-grade bond fund, the analyst may invest in the stock without any restrictions relating to the fund.

(Module 20.8, LOS 20: VI(B))

Question #10 of 34

Question ID: 1675774

The following scenarios involve two analysts at Dupree Asset Management, a small New York-based company with about $150 million in assets under management. Dupree restricts personal trading of stocks analyzed, corporate directorships, trustee positions, and other special relationships that could reasonably be considered a conflict of interest with their responsibilities to their employer:

- Ray Bolt, CFA, is a senior investment analyst. Bolt was recently elected to the board of trustees of his alma mater, Midwest University, and was appointed as the chairman of the university's endowment committee. Midwest has more than $2 billion in its endowment. Bolt must travel from New York to Chicago eight times a year to attend meetings of the board of trustees and endowment committee. Bolt did not inform Dupree of his involvement with Midwest University.
- Wanda Delvecco, a candidate in the CFA Program, is a junior investment analyst. She recently wrote a research report on Aveco Communications and recommended the stock for Dupree's buy list. Delvecco bought 200 shares of Aveco stock for her personal account 12 months before she wrote her research report. Over the past 12 months, the stock's price has been in the $20–$42 price range. Delvecco has not informed Dupree of her ownership of Aveco stock.

According to CFA Institute Standards of Professional Conduct, which the following statements about Bolt's and Delvecco's actions is correct?

A) Neither Bolt nor Delvecco violated the Standards.

B) Both Bolt and Delvecco violated the Standards.

C) Delvecco violated the Standards, but Bolt did not.

Explanation

Standard VI(A): Disclosure of Conflicts requires that Bolt inform Dupree of his involvement with Midwest University, given that Bolt's new role can be expected to be time consuming and possibly affect his responsibilities at Dupree. Delvecco is required to disclose her ownership of Aveco stock before conducting the research report because such ownership could bias her objectivity in making a recommendation. She should have discussed owning the stock with her supervisor before beginning to write the research report on Aveco.

(Module 20.8, LOS 20: VI(A))

Question #11 of 34

Question ID: 1675773

Ryan Brown, CFA, is an analyst with a large insurance company. His personal portfolio includes a significant investment in QRS common stock that his firm does not currently follow. The director of the research department asked Brown to analyze QRS and write a report about its investment potential. Based on CFA Institute Standards of Professional Conduct, Brown is required to:

A) sell his shares of QRS before completing the report.

B) disclose the ownership of the stock to his employer and in the report.

C) decline to write the report without specific approval of his supervisor.

Explanation

Standard VI(A): Disclosure of Conflicts requires that Brown make full disclosure of all matters that could impair his objectivity. Brown needs to disclose his personal holding in QRS stock not only to his employer, but also in any subsequent reports that he authors. Getting the approval of his supervisor does not solve this conflict problem for Brown. Selling his shares of QRS would be one solution to Brown's situation; however, this action is not required by the Standards.

(Module 20.8, LOS 20: VI(A))

Question #12 of 34

Question ID: 1675778

Bill Valley has been working for Advisors, Inc., for several years, and he just joined CFA Institute. Valley routinely writes research reports on pharmaceutical firms. Valley has recently been asked to serve on the board of directors of an organization that promotes the search for a cure of a certain cancer. Serving on the board is an unpaid position without any direct benefits other than meeting new people and potential clients. To comply with Standard VI: Disclosure of Conflicts, Valley needs to:

A) both disclose the position on the board to his supervisor and describe his responsibilities on the board.

B) only disclose the position on the board to his supervisor.

C) do nothing.

Explanation

Valley could be affected by his position on the board because he may tend to favor investments in firms that do cancer research. To comply with Standard VI(A): Disclosure of Conflicts, Valley must inform his supervisor of this relationship and describe his responsibilities on the board. Even if his supervisor does not find the relationship troublesome, any subsequent action that could lead to a conflict of interest should be discussed with the firm's compliance officer.

(Module 20.8, LOS 20: VI(A))

Question #13 of 34

Question ID: 1675775

Phil Trobb, CFA, is preparing a purchase recommendation on Aneas Lumber for his research firm. All of the following are potential conflicts of interest except:

A) Trobb's research firm has a large stake of ownership in Aneas Lumber. ✗

B) Trobb's cousin repairs machines for Aneas Lumber. ✓

C) Aneas hires Trobb as a consultant to analyze the financial statements of Aneas Lumber. ✗

Explanation

Standard VI(A) defines what constitutes a conflict of interest regarding clients, prospective clients, and employers. All of these represent potential conflicts of interest with the exception of the cousin working for Aneas Lumber in a job that is unrelated to the company's financing.

(Module 20.8, LOS 20: VI(A))

Question #14 of 34

Question ID: 1675797

A member or candidate who receives consideration from others for the recommendation of products or services must disclose the estimated dollar value of the consideration paid in:

A) cash only. ✗

B) cash or soft dollars. ✗

C) cash, soft dollars, or in kind. ✓

Explanation

According to Standard VI(C): Referral Fees, consideration includes all fees that are paid in cash, soft dollars, and in kind. Referral fees must be disclosed to the client or employer before engaging in an agreement to provide services.

(Module 20.8, LOS 20: VI(C))

Question #15 of 34

Question ID: 1675799

Joe James, CAIA, CPA, is a Level II CFA candidate living in Boston. In the course of his accounting practice, James often refers clients to a local law firm specializing in estate planning. James does not violate client confidentiality and does not receive compensation for the referral. However, the law firm often gives James tickets to the theater and major sporting events.

Which of the following statements regarding disclosure is correct? James:

A) need not disclose the benefits received for referring clients because the clients were developed in the course of his accounting practice. ✗

B) need not disclose the benefits received for referring clients because no compensation is received. ✗

C) must disclose the benefits received for referring clients to the law firm. ✓

Explanation

Standard VI(C): Referral Fees requires members to disclose to clients and prospects any consideration or benefit received by the member or delivered to others for the recommendation of any services to a client or prospect. James has received a benefit (free tickets), which must be disclosed to the clients referred by James. Disclosure will allow the clients to determine any partiality of the recommendation.

(Module 20.8, LOS 20: VI(C))

Question #16 of 34

Question ID: 1675789

An analyst routinely has the opportunity to offer his clients the opportunity to purchase "hot new issues." He tells his clients that he will distribute each issue equally among those interested, with himself included in the distribution. The clients do not object to this. With respect to Standard VI(B): Priority of Transactions, this:

A) cannot be a violation because the clients know of the practice and agree. ✗

B) may be a violation, despite the clients' approval. ✓

C) may be a violation because it is impossible to distribute hot new issues equally. ✗

Explanation

Just because the clients know of a practice does not make it right. The analyst must put the clients first. It is a violation for the analyst to participate in a "hot new issue" that can lower the allocation to any given client below what that client would prefer. This is tantamount to putting the analyst's interests ahead of the clients' interests.

(Module 20.8, LOS 20: VI(B))

Question #17 of 34

Question ID: 1675796

Which of the following statements about Standard VI(C): Referral Fees is correct?

A) Referral fees must be disclosed before proceeding with an agreement for service. ✓

B) Referral fees must be disclosed after proceeding with an agreement for service. ✗

C) Referral fees may be disclosed before or after proceeding with an agreement for service. ✗

Explanation

According to Standard VI(C), referral fees must be disclosed before proceeding with an agreement for service for the client or employer to compute the full cost of the service and to evaluate any potential partiality of the recommendation.

(Module 20.8, LOS 20: VI(C))

Question #18 of 34

Question ID: 1675795

An analyst who is a member of CFA Institute has composed an introductory information packet for her new clients, which includes information on fees she receives for referring clients to other professionals and those she pays for having clients referred to her. With respect to Standard VI(C): Referral Fees, this action:

A) exceeds the requirement of the Standard because she does not need to reveal the fees she pays to those who refer clients to her. ✗

B) is not addressed in the Standard. ✗

C) may not satisfy the Standard if such information is only provided after the receivers of the information have become clients. ✓

Explanation

Standard VI(C) says that a member must reveal information both on fees she receives for referring clients to other professionals and those she pays for having clients referred to her before a prospect becomes a client. This allows the prospect to evaluate any partiality of a recommendation and the full cost of the services.

(Module 20.8, LOS 20: VI(C))

Question #19 of 34

Question ID: 1675780

Arthur Harrow, CFA, is a pharmaceuticals analyst at Dominion Asset Management (Dominion). His supervisor directs him to prepare separate research reports on Miracle Drug Company (Miracle) and Wonder Drug Company (Wonder). Harrow serves on the board of Miracle and owns 2,000 shares of Wonder, which is currently trading at $25 per share. According to CFA Institute Standards of Professional Conduct, which of the following actions, if any, is Harrow required to take if he writes the research reports?

A) Harrow must disclose to Dominion his relationship with Miracle, but not his ownership of shares in Wonder. ✗

B) Harrow must disclose to Dominion both his relationship with Miracle and his ownership of shares in Wonder. ✓

C) Harrow must disclose to Dominion his ownership of shares in Wonder, but not his relationship with Miracle. ✗

Explanation

Standard VI(A) requires that Harrow disclose to Dominion conflicts that reasonably could be expected to interfere with his independence and objectivity. Both Harrow's relationship with Miracle and his ownership of a substantial dollar amount of Wonder's shares represent potential conflicts of interest and must be disclosed prominently and in clear language in the research report, giving clients the ability to weigh the possible effects of these potential conflicts on his analysis and conclusions.

(Module 20.8, LOS 20: VI(A))

Question #20 of 34

Question ID: 1675791

Lance Tuipulotu, CFA, is a portfolio manager for an investment advisory firm. He plans to sell 10,000 shares of Park N' Wreck, Inc., to finance his daughter's new restaurant venture, but his firm recently upgraded the stock to a strong buy. To remain in compliance with Standard VI(B): Priority of Transactions, Tuipulotu must:

A) not sell the shares of Park N’ Wreck. ✗

B) notify his firm of his intention to sell the shares before selling the shares. ✓

C) delay selling the shares until a firm client makes an offsetting purchase to avoid having a market impact. ✗

Explanation

Standard VI(B): Priority of Transactions does not prohibit Tuipulotu from trading opposite the firm's recommendation, but he should notify his firm first. Note that if Tuipulotu were a research analyst covering Park N' Wreck, he may be prevented from selling the security if his firm claims compliance with the CFA Institute's Research Objectivity Standards.

(Module 20.8, LOS 20: VI(B))

Question #21 of 34

Question ID: 1675784

A firm produces regular proprietary research reports on various companies. According to Standard VI(B): Priority of Transactions, which of the following would be an "access person"?

A) An independent auditor with access to material, nonpublic information on a company being analyzed. ✗

B) A person working in the mail room. ✗

C) A supervisory analyst who reviews all research reports before dissemination. ✓

Explanation

Persons with access to information during the normal preparation of research recommendations are subject to Standard VI(B). An independent auditor is not involved in the normal preparation of research recommendations.

(Module 20.8, LOS 20: VI(B))

Question #22 of 34

Question ID: 1675787

An analyst has the opportunity to offer his clients shares in a "hot new issue." One of the analyst's clients is his brother. When the new issue comes out, for those clients he deems it would be appropriate, he offers them an equal share. He includes his brother in that group. With respect to Standard VI(B): Priority of Transactions, this is:

A) congruent with the Standard as long as he does not have a direct personal interest in his brother's account. ✓

B) congruent with the Standard, even if he has a direct personal interest in his brother's account. ✗

C) congruent with the Standard if his brother is not a "covered person." ✗

Explanation

Client accounts that belong to family members should be treated like any other account, so long as there is no direct interest on the part of the analyst. In other words, these types of accounts should not be at a disadvantage relative to other client accounts when there is no direct interest on the part of the analyst overseeing the account.

(Module 20.8, LOS 20: VI(B))

Question #23 of 34

Question ID: 1675798

Standard VI(C): Referral Fees is applicable to:

A) all consideration received or paid for the recommendation of products or services. ✓

B) only consideration paid in soft dollars for the recommendation of products or services. ✗

C) only cash consideration received for the recommendation of products or services. ✗

Explanation

According to Standard VI(C): Referral Fees, consideration includes all fees that are paid in cash, soft dollars, and in kind. Referral fees must be disclosed to the client or employer, whether the consideration is received by or paid to others for the recommendation.

(Module 20.8, LOS 20: VI(C))

Question #24 of 34

Question ID: 1675793

Wes Smith, CFA, refers many of his clients to Bill Towers, CPA, for accounting services. In return, Towers performs routine services for Smith, such as his tax returns, for no charge. With respect to this relationship, Smith:

A) is only in violation of Standard III(B): Fair Dealing, by not putting the client first. ✗

B) is in violation of both Standard V(B) and III(B). ✗

C) must disclose to his clients that Towers provides services for Smith's personal benefit. ✓

Explanation

According to VI(C): Referral Fees, Smith must disclose to his clients that Towers provides services for Smith's personal benefit. Neither of the Standards listed in the other answers apply.

(Module 20.8, LOS 20: VI(C))

Question #25 of 34

Question ID: 1675783

An analyst likes to trade options in her own account. She does not deem any of her client accounts suitable for option trading. When she finds a favorable options position, in accordance with Standard VI(B): Priority of Transactions, she should:

A) act on it on her own behalf as she sees fit. ✓

B) first tell her clients about it before acting herself. ✗

C) refrain from acting until she notifies her supervisor. ✗

Explanation

This is not a violation of Standard VI(B): Priority of Transactions because the investment is not suitable for her clients. If the analyst believes that none of her clients should trade options, she is not obligated to advise them in this instance.

(Module 20.8, LOS 20: VI(B))

Question #26 of 34

Question ID: 1675794

Wes Smith, CFA, refers many of his clients to Bill Towers, CPA, for accounting services. In return, Towers performs routine services for Smith, such as his tax returns, for no charge. Towers has just become a member of CFA Institute. With this development, Towers must:

A) reveal to the prospects referred by Smith that he performs services for Smith, along with the estimated value of those services. ✓

B) only reveal to the prospects referred by Smith that he performs services for Smith. ✗

C) discontinue his services for Smith. ✗

Explanation

According to VI(C): Referral Fees, as a member of CFA Institute, Towers must tell his clients about the payment in kind to Smith along with an estimate of the value of those services.

(Module 20.8, LOS 20: VI(C))

Question #27 - 32 of 34

Question ID: 1675766

Concerning her private clients, Hernandez must:

A) discontinue her independent practice. ✗

B) obtain written consent from TFA to continue the relationship. ✓

C) obtain written consent from TFA only if the private practice was not disclosed orally during the hiring process. ✗

Explanation

Even though the relationships with Hernandez's private clients predate her employment with TFA, she is obligated to obtain written consent from TFA to continue with the activities. Moreover, she needs written consent from her private clients as well (Standard IV(A): Loyalty to Employer and Standard IV(B): Additional Compensation Agreements).

(Module 20.8, LOS 20: VI(A))

Question #28 - 32 of 34

Question ID: 1675767

With respect to the prospects she invites to the "quarterly investment forum" and then solicits for her private practice, Hernandez is:

A) in violation of Standard I(D) concerning professional misconduct. ✓

B) not in violation of any Code or Standard. ✗

C) in violation of Standard VI(A) concerning disclosure of conflicts. ✗

Explanation

Standard I(D) states that members must not engage in any professional conduct involving dishonesty, fraud, or deceit. Hernandez is being dishonest by using a TFA mailing to bring in prospects who she knows cannot become TFA clients with the apparent intent of soliciting them for her own private business. Note that Standard VI(A) deals with disclosing conflicts of interest that would impair the member's ability to make unbiased and objective recommendations, such as serving on a board or having a beneficial interest in a security. Standard III(C) states that a member must inquire as to a client's financial situation and consider the appropriateness of investment recommendations for each client. Because there are no specific recommendations being given, Standard III(C) does not apply here.

(Module 20.8, LOS 20: VI(A))

Question #29 - 32 of 34

Question ID: 1675768

With respect to the proposal for the IPO mandate of ChemMex, Hernandez:

A) is not allowed to meet with ChemMex officials. ✗

B) may meet with ChemMex officials and be involved with the IPO, as long as she discloses the material facts of the situation to TFA. ✓

C) may meet with ChemMex officials, but cannot be otherwise involved with the IPO. ✗

Explanation

Hernandez would be allowed to meet with ChemMex and to be involved with the IPO, so long as she discloses the material facts to TFA. Once in possession of these facts, TFA is in position to determine if the conflicts of interest are such that they should preclude Hernandez's participation in the project [Standard VI(A), Disclosure of Conflicts].

(Module 20.8, LOS 20: VI(A))

Question #30 - 32 of 34

Question ID: 1675769

With respect to the recommendation that Hernandez writes for CoppOre, Hernandez may:

A) proceed with the recommendation as long as she does not exaggerate facts and mention the tender offer, but she does not have to make an effort to achieve public dissemination of the tender offer. ✗

B) proceed with the recommendation as long as she does not exaggerate facts and mention the tender offer, but she must make an effort to achieve public dissemination of the tender offer. ✗

C) not proceed with the recommendation with either the exaggerated information or the information of the tender offer. ✓

Explanation

Exaggerating facts is a violation of Standard V(A): Diligence and Reasonable Basis. Mentioning the tender offer, or causing others to trade in a security involved with a tender offer, is a violation of Standard II(A): Material Nonpublic Information. According to Standard II(A), in no instance may a member trade or cause other to trade in a security while a member possesses material nonpublic information. The fact that the home country does not make trading on information concerning a tender offer a crime does not allow Hernandez to use it because Standard II(A) prohibits it. Remember that the member must go along with either the home country laws or the Code and Standards, whichever is stricter.

(Module 20.8, LOS 20: VI(A))

Question #31 - 32 of 34

Question ID: 1675770

All of the following are violations of the Code and Standards except:

A) Hernandez using TFA data and research for her private practice. ✗

B) Hernandez not informing TFA of her private practice and getting written permission for it. ✗

C) TFA's management not making any special effort to include Hernandez's holding the CFA designation in their literature and advertisements. ✓

Explanation

Using the CFA designation is a privilege and is not mandatory. TFA has not prohibited Hernandez from using it—they simply have said that they will not make an effort to use it, which may actually be in compliance with the Standards in that they avoid any undignified use of the designation. The other three choices are clear violations. Hernandez cannot use the property (i.e., the data and research) of TFA. She needs written permission to continue her private practice. TFA is required to supervise Hernandez, and they are not fulfilling this responsibility by allowing her to proceed with her plans to write the CoppOre report.

(Module 20.8, LOS 20: VI(A))

Question #32 - 32 of 34

Question ID: 1675771

Upon her arrival at TFA, as a CFA charterholder, Hernandez is:

A) not required to deliver a copy of the Code and Standards to her employer. ✓

B) only required to provide her employer with written notification of her obligation to comply because she has been told her supervisors are aware of the Code and Standards. ✗

C) required to deliver a copy of the Code and Standards to her employer and provide the employer with written notification of her obligation to comply. ✗

Explanation

There is no longer a requirement to provide an employer with a copy of the Code and Standards.

(Module 20.8, LOS 20: VI(A))

Question #33 of 34

Question ID: 1675788

An analyst has a large personal holding of a security, and he has just determined that market conditions warrant selling this security. The analyst contacts clients who have a position in the security and advises them to sell some or all of the security. After waiting 24 hours, he sells the security from his personal accounts. This is:

A) congruent with Standard VI(B): Priority of Transactions. ✓

B) a violation of Standard III(B): Fair Dealing. ✗

C) a violation of Standard VI(B): Priority of Transactions. ✗

Explanation

According to Standard VI(B), an analyst must give clients the first opportunity to buy or sell a security before the analyst acts on his own behalf. A 24-hour waiting period seems reasonable under the circumstances presented. The analyst seems to have a reasonable basis, and there is no reason to believe that he is violating Standard III(B) because he contacted all of the clients who have a position in the security.

(Module 20.8, LOS 20: VI(B))

Question #34 of 34

Question ID: 1675777

When an analyst makes an investment recommendation, which of the following statements *must* be disclosed to clients?

A) An employee of the firm holds a directorship with the recommended company. ✗

B) The firm is a market maker in the stock of the recommended company. ✗

C) Both of these statements must be disclosed to clients. ✓

Explanation

Both of these items are explicitly listed in the discussion of Standard VI(A): Disclosure of Conflicts.

(Module 20.8, LOS 20: VI(A))